Salary and Performance Management System – Technical Requirements Document

1. System Overview

The Salary and Performance Management System is designed to automate and streamline the management of employee performance reviews, salary projections, and salary adjustments across the organization.
This system replaces legacy manual tracking tools that fail to manage the dynamic budgeting and projection process used by Human Resources (HR), executives, managers, and supervisors.
It integrates both performance and salary review functionalities, offering real-time projection, approval, and auditing capabilities. The system will be scalable to support approximately 3,500 staff members and 250 managers/supervisors, with an expected 5% annual staff growth.

2. User Roles and Permissions

Access control follows a hierarchical model (Top-Down Visibility):

Role	Responsibilities	Data Access Scope	System Permissions
Executive (CIO, HR Executive)	Defines annual merit guidelines, salary ranges, and budget limits. Approves all final projections and actuals.	Full visibility across all departments.	Approve exceptions, manage salary/PR configuration tables.
Manager	Reviews and approves supervisor projections and performance ratings before submission to executives.	Department-wide visibility (supervisors and staff).	Submit, modify, and approve departmental projections.
Supervisor	Conducts quarterly and annual performance reviews, submits projections, and	Access to own staff records only.	Input ratings, projections, and comments. Cannot view peer data.

	manages direct reports.		
Employee	Views finalized performance and salary reviews only.	Access limited to own actual results.	Acknowledge reviews, submit self-assessments for quarterly PR.

3. Functional Requirements

3.1 Performance Review Projections

Supervisors conduct projected performance evaluations based on quarterly reviews and team metrics. Each supervisor rates staff using a 5-point system (EC, SC+, SC, SC-, NI). Supervisors assign expected ratings based on job role, level, and prior performance trends. Managers review and approve projections, which are escalated to the CIO for final validation.

The system must:
• Allow supervisors to enter performance projections by employee, including justification notes.
• Validate projections against PR guidelines (OP/EC 20%, SC+ 25%, SP/SC 50%, UP/NI/SC– 5%).
• Flag out-of-range percentages for managerial or CIO approval.
• Maintain version history for every projection record.
• Generate department-level summary reports showing distribution against PR targets.

3.2 Actual Performance Review

After annual or semi-annual evaluations, supervisors record actual performance ratings. The system must store final ratings, approval trails, and both employee and supervisor signatures.
Employees may submit disagreements electronically, which route to HR for resolution.

Key Requirements:
• Capture rating attributes: Job Knowledge, Motivation, Accountability, Commitment, Leadership.
• Support weighted scoring (weights defined per role/department).
• Record signatures and timestamps (employee, supervisor, HR).

• Archive finalized performance review forms to HR database.
• Prevent modification of finalized actuals except by HR with logged audit.
• Support IAP (Improvement Action Plan) tracking for employees under “NI” or “UP” ratings.

3.3 Salary Review Projections

Salary projections are based on approved performance review results and merit chart percentages. Supervisors propose salary adjustments; managers verify accuracy, and executives ensure adherence to merit and budget guidelines.

System Capabilities:
• Calculate projected increases using: Projected Salary = Current Salary × Merit %.
• Check salary ranges (Min/Max) from HR-maintained tables.
• Flag projections outside approved merit or budget targets for CIO review.
• Distinguish between standard merit increases, promotions, and “Other” adjustments (O/N codes).
• Generate projection reports showing department-wide salary impact versus budget allocation.

3.4 Salary Review Actuals

Once all projections are approved, the system converts them into actual salary records. Executives finalize adjustments and HR updates the official employee record.
The system must automatically notify the salary of new salaries at least three days prior to the effective date, as per Minnesota law.

Key Features:
• Enforce 3-day advance notification rule for salary changes.
• Track actual vs. projected amounts for reporting and audit purposes.
• Prevent mid-pay-period salary changes (must align with pay period start).
• Support both hourly and salaried employees.
• Integrate finalized data with HR master system.
• Maintain audit trail of all approvals and changes.

4. Non-Functional Requirements

• Security: Enforce role-based access control (RBAC) with encryption for all salary and PR

data.
• Scalability: Must handle up to 3,500 employees with 5% annual growth.
• Reliability: 99.9% uptime required during high-usage periods (Nov–Jan).
• Performance: Response time under 2 seconds for data retrieval and input.
• Legal Compliance: Support MN 3-day notification rule and secure data retention.
• Accessibility: Support desktop, mobile, and remote access with federated authentication.

5. System Data Elements

Key Data Fields:
• Employee ID (6-digit unique number)
• Name (First, Middle, Last)
• Position Title (50 char, with 4-digit code)
• Department (4-digit code)
• Review Period (MM/YYYY)
• Last Performance Rating
• Supervisor Name/ID
• Salary Range (Min/Max)
• Merit Percent, Increase Amount, and Projected Salary
• Approval Status and Signatures

6. Process Flow Summary

1. Executive defines annual merit and PR guidelines.
2. Supervisors enter quarterly PR projections → Managers review → CIO approves.
3. Salary projections calculated based on approved PRs.
4. System validates against ranges, guidelines, and budgets.
5. Executives finalize actual performance and salary records.
6. HR syncs data to master database.
7. Employees are notified of final salary adjustments.

7. Reporting & Notifications

• Generate reports comparing projections vs. actuals for both PR and salary.
• Notify managers and executives when records are pending approval or out of range.
• Provide automated email or Teams workflow integration for communication and exceptions.
• Maintain an electronic log for all communications and approvals.

8. Integration Points

• HR Database: Syncs employee demographic, position, and salary data.
• Authentication System: Integrate with Active Directory for secure single sign-on (SSO).
• Communication Tools: Connect with Microsoft Teams or Outlook for notifications and approvals.
• Payroll System: Export finalized salary changes for implementation.

- Quartey Reviews
    - We decided what we do and don't want in the system for Quartey reviews
    - Notes, reviews, sheet employee fills out and reviews with manager, team ranking,eg
    - Team Rank: About once a year during performance review projection time, look at everyone and give them a team ranking within a team. For example, you put 10 people into a rank from 1 to 10 based on who's the best at one and who's the worst at 10
    - Employees cannot see their team ranking.
    - The team ranking is used for the performance guides

- We are competing with who will have the best system
- SYSTEM SHOULD HAVE A REMINDER ABOUT WHEN A PR OR VIEW IS COMING UP (Maybe a calendar for manager to look at and see days they have them)

PR

- Everybody has a date for when their performance reviews are due, which is usually a month and year. Your performance review has to be done during the month that it was last. You set the date for the next PR.
- When your next PR is due must have a date in the system that can be changed
- Can do a Quartey review to try and improve an employee or can move up the PR to give them a new lettering
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SALARY Actual

- An actual month, day, year is used for salary and is always effective on a Sunday
- First do a notify system to kick off salary actuals
- Actual matching with projected?
- If different, then have to get approval or revise their rating

Promostin in actual – Does the employee still get the promoption. Same good, but if no you would have to try and get that approved

Actual

- Review all quarter pr and give a new rank
- Want the ability to go up to director/exec and argue for their rank for approval? If director says no, then you need to change things around
- PR are not perfect, and they change a lot

Projections

- Execs send MERIT guidelines and PR guidelines in Novemberish
- The first thing managers do is pr projections. Compare the end to the guidelines
- Then I do salary projections, am I in budget etc.etc.

USE CASE

Performance Review Projections